

Michele Piffer, PhD

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GENERAL INFORMATION

Address	King's Business School Bush House, 30 Aldwych London WC2B 4BG United Kingdom
Contact	Office: +44 (0) 20 7848 9962 Email: m.b.piffer@gmail.com or michele.piffer@kcl.ac.uk or michele.piffer@bankofengland.co.uk
Web page	Web: https://sites.google.com/site/michelepiffereconomics
Citizenship	Italian, British (naturalized)

WORKING EXPERIENCE

2024/-	Senior Researcher , Bank of England, MA-MMD (Macroeconomic Modelling Division)
2024/-	Senior Lecturer in Economics , King's Business School, London, UK
2019 / -	Lecturer in Economics (tenured), King's Business School, London, UK
2017 / 2019	Marie Curie Individual Fellow , Queen Mary, University of London, London, UK
2014 / 2017	Post Doc , German Institute for Economic Research (DIW Berlin), Berlin, Germany
July / Sept 2012	Internship , European Central Bank (Monetary Policy Strategy division), Frankfurt, Germany Paper on "Monetary Policy, Leverage, and Default"
July / Sept 2009	Internship , Bank of Italy, Rome, Italy Research project: "Bank Leverage Ratios after Basel I". Supervisors: Dr. P. Angelini and Dr. F. Columba

EDUCATION

2009/2014	PhD Economics , London School of Economics Job market paper: "Monetary Policy and Default in the US". Supervisor: Prof. W. Den Haan. Examiners: Prof J. Peydrò and Prof. P. Surico
2008/2009	MRes Economics , London School of Economics Grade: Pass. Dissertation: "A Theory of Financial Amplification". Supervisor: Dr. K. Aoki
2007/2008	MSc Economics , London School of Economics Grade: Distinction. Dissertation: "Flexible Prices and Exchange Rate Stabilization: the Corsetti-Pesenti Simple Geometry with a Third Country". Supervisor: Dr. A. Sarychev
2005/2007	MSc Economics (Laurea Specialistica) , Università Cattolica, Milano, Italy Grade: <i>Cum Laude</i> . Dissertation: "Monetary Policy, Time-Inconsistency and the Management of Uncertainty". Supervisor: Prof. M. Lossani
2002/2005	BSc Economics (Laurea Triennale) , Università Cattolica, Milano, Italy Grade: <i>Cum Laude</i> . Dissertation: "The European Stability and Growth Pact". Supervisor: Prof. M. Lossani
1997/2002	A level (Maturità) , Liceo Scientifico Leonardo da Vinci, Milano, Italy

REFERENCE LETTERS

Prof. Haroon Mumtaz School of Economics and Finance Queen Mary, University of London Mile End Road, E1 4NS, London, UK h.mumtaz@qmul.ac.uk +44 20 7882 8839	Prof. Christian Matthes Indiana University Woodlawn Ave Bloomington, IN 47405 mailto:matthes@iu.edu
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HONORS, AWARDS, GRANTS

September 2017	Marie Curie Individual Fellowship, European Union's Horizon 2020 Two years, grant agreement number 744010, total value €148,654.80. Advisor, Prof. H. Mumtaz
August 2016	IAAE Travel Grant Travel grant for participating to the IAAE 2016 annual conference, Milan, Italy
August 2013	Young Economist Best Paper Award (FEEM) for the paper "Monetary Policy, Leverage, and Default" Annual congress of the European Economic Association, Gothenburg, Sweden
December 2012	Young Economist Best Paper Award for the paper "Monetary Policy, Leverage, and Default" XXI International Conference on Money, Banking and Finance at LUISS Guido Carli University, Rome, Italy
April 2009	ESRC (Economic and Social Research Council) Scholarship
April 2009	Merit award, Banca Popolare Commercio e Industria

WORKSHOPS AND EVENTS ORGANIZED

April 2024	Leading organizer, Workshop in Empirical Macroeconomics
May 2023	Leading organizer, Workshop in Empirical and Theoretical Macroeconomics
September 2022	Founder of Virtual Time Series Seminar https://sites.google.com/view/vtss/home . Currently at its third edition
June 2022	Local organizer of the IAAE Annual Conference at King's College London
April 2022	Leading organizer, second edition of QuickTaks in Macroeconometrics
November 2021	Leading organizer, first edition of QuickTaks in Macroeconometrics
June 2020	Founder of Macroeconometrics Network https://www.macroconometrics.net/
June 2020	Leading organizer, third edition of the Workshop in Structural VAR models via Zoom, supported by King's College London
May 2019	Leading organizer, second edition of the Workshop in Structural VAR models Queen Mary, University of London. Invited speakers: Prof. R. Giacomini, Prof. H. Lütkepohl, Dr. Dario Caldara
May 2018	Leading organizer, first edition of the Workshop in Structural VAR models Queen Mary, University of London. Invited speakers: Prof. F. Canova, Prof. A. Inoue, Dr. M. Plagborg-Møller
April 2016	Co-organizer, second edition of the Berlin Internal Macroeconomics Workshop DIW Berlin, Berlin. Invited speaker: Prof. W. Den Haan

TEACHING EXPERIENCE

2021/2023	Lecturer at King's College London Principles of Macroeconomics (1 st year undergraduate) Macroeconomics (1 st year undergraduate) Advanced Macroeconomics (3 rd year undergraduate) Money, Macroeconomic Policy, and the Financial System (MSc Economics and Finance)
2019/2021	Principles of Macroeconomics (1 st year undergraduate) Advanced Macroeconomics (3 rd year undergraduate) Money, Macroeconomic Policy, and the Financial System (MSc Economics and Finance)
2019/2020	Principles of Macroeconomics (1 st year undergraduate) Advanced Macroeconomics (3 rd year undergraduate)
February 2020	Lecturer at Central Reserve Bank of Peru, Lima, Peru Structural Vector Autoregressive (VAR) models
April 2016	Lecturer at CSEF, University of Naples Federico II, Naples, Italy Frequentist and Bayesian VAR models - short postgraduate course
2011/2012	Teaching Fellow at the London School of Economics Econometrics - postgraduate course for MSc Economics
December 2011	<i>Stata</i> for MSc students
September 2011	Statistics - postgraduate course for MSc Economics
2010/2011	Macroeconomics - postgraduate course for MSc Economics
April 2011	Lecturer at Shanghai Normal University, Shanghai, China International Monetary Policy - undergraduate
April 2012	International Monetary Policy - undergraduate
2009/2010	Teaching Assistant at the London School of Economics Macroeconomics and Microeconomics - undergraduate course for BSc Economics
2008/2009	Macroeconomics and Microeconomics - undergraduate course for BSc Economics

RESEARCH AND TEACHING INTERESTS

Econometrics (both classic and Bayesian), Time Series Analysis
Macroeconomics, Monetary Economics

PHD EXTERNAL EXAMINER

2020	Guido Turnip, University of Melbourne, Australia
2020	Catalin Dragomirescu-Gaina, University of Milan, Italy
2023	Jairo Flores, Universitat Pompeu Fabra, Barcelona, Spain
2023	Jetro Anttonen, University of Helsinki, Finland
2024	Federica Vassalli, Università la Sapienza, Rome, Italy

WORK IN PAPERS

“Non-Gaussian Structural Dynamic Factor Models”
(with A. Kociecki, University of Warsaw and C. Matthes, Indiana University)

“Vaccination changes pandemic dynamics”
(with A. Camehl, Erasmus University Rotterdam, and M. Rieth, DIW Berlin)

“Theory-based priors for the output gap”
(with M. Luciani, Federal Reserve Board, and A. Renzetti, Bank of England)

WORKING PAPERS

“[Flexible prior beliefs on impulse responses in Bayesian vector autoregressive models](#)”
(with F. Canova, BI Norwegian Business School, and A. Kociecki, University of Warsaw)

This paper develops a methodology that lets researchers introduce explicit prior beliefs on impulse responses, both contemporaneously and with lags. The researcher specifies the prior mean and variance of the impulse responses. This allows for the incorporation of beliefs about the dynamic response to the structural shocks of interest, including the shape and persistence of the response. We show that we can achieve this flexible prior while working with a Normal prior distribution, hence preserving the tractability of the posterior. We propose our prior as an alternative to the Minnesota prior when working with structural analysis in VARs.

“[A Scalable Framework for Statistical Identification in Structural VARs](#)”
(with A. Kociecki, University of Warsaw and C. Matthes, Indiana University)

Non-Gaussian features of macroeconomic data identify structural VARs without theory-based restrictions, but two computational problems arise: the conditional posterior of the impact matrix has no standard form, and, with k variables, draws must be relabeled among $k! 2^k$ sign and permutation configurations. We propose a solution for both. We show that writing the inverse impact matrix as a diagonal matrix times two unit-triangular matrices yields standard conditional posteriors for the impact matrix in any model whose shocks are Gaussian conditional on a diagonal matrix of scales, including Student-t shocks, stochastic volatility, and Markov switching. We then show that the relabeling step is a linear assignment problem that the Hungarian algorithm solves exactly in under a millisecond for dozens of variables. In a ten-variable Student-t SVAR for the U.S., no shock's posterior median share of GDP fluctuations exceeds 30 percent at horizons up to 24 quarters, whereas max-share identification attributes nearly 80 percent to one shock.

“[The transmission of monetary policy when agents fear extreme inflation outcomes](#)”
(with A. Allayioti, European Central Bank, and F. Monti, Universite' Catholique de Louvain)

The distribution of individual inflation expectations displays complex and time-varying shapes. Does this matter for the efficacy of monetary policy? Using an extended version of the smooth transition VAR framework that achieves identification via external instruments and sign restrictions, we investigate how changes in the tails of the distribution of inflation expectations -- which we call fear of inflation and deflation -- affect the transmission of monetary policy shocks. We show that the responses of macroeconomic variables to monetary policy shocks in times of more prominent fears of

inflation or deflation are different in a statistically significant way, both with respect to “normal times” and between each other. We also provide evidence of important asymmetries in the way the distribution of inflation expectations changes in response to a monetary policy shock, which could help explain the different responses of the macro variables.

ACADEMIC PUBLICATIONS

“Structural Forecast Analysis”

(with D. Brignone, Bank of England)
The Econometrics Journal, forthcoming

work. We show that monetary policy shocks are more effective during economic expansions. This paper shows how the structural representation of a vector autoregressive model can support forecast analysis. We offer a unified framework that formalizes how the structural form of the model can help form a narrative for two key statistics in real-time VAR forecasting: the forecast errors at the outturn of the data, and the consequent revisions of the forecast. We conduct an exercise on the UK, focusing on the inflation surge that started in 2022. We show that revisions to the inflation forecast were driven not only by contractionary supply-side shocks, but also by a mix of expansionary demand-side shocks, with an important role played by revised past shocks. However, we find that the role of demand shocks is subsequently revised downwards as new data vintages become available.

Key words: VAR modeling, forecasting, structural shocks, decomposition

“Impulse response estimation via flexible local projections”

(with H. Mumtaz, Queen Mary University of London)
Journal of Money, Credit and Banking, forthcoming

This paper introduces a flexible local projection that generalises the model by Jorda (2005) to a non-parametric setting using Bayesian Additive Regression Trees. Monte Carlo experiments show that our BART-LP model is able to capture non-linearities in the impulse responses. Our first application shows that the fiscal multiplier is stronger in recession than expansion only in response to contractionary fiscal shocks, but not in response to expansionary fiscal shocks. We then show that financial shocks generate effects on the economy that increase more than proportionately in the size of the shock when the shock is negative, but not when the shock is positive.

Key words: VAR modeling, forecasting, structural shocks, decomposition

“Counter-Cyclical Defaults in Costly State Verification Models”

The Manchester School, 2025, 94(2), pp. 218-233

We develop a tractable way of estimating the parameters ruling the nonlinearity in the popular Smooth Transition VAR model. We show that estimating such parameters is important because they have strong implications in applied work. We show that monetary policy shocks are more effective during economic expansions.

Key words: cyclical finance.

[“Tractable Bayesian Estimation of Smooth Transition Vector Autoregressive Models”](#)

(with M. Bruns, University of East Anglia)
The Econometrics Journal, 2024, 27(3), pp. 343-361

We develop a tractable way of estimating the parameters ruling the nonlinearity in the popular Smooth Transition VAR model. We show that estimating such parameters is important because they have strong implications in applied work. We show that monetary policy shocks are more effective during economic expansions.

Key words: Nonlinear models, Bayesian Econometrics, proxy SVARs, monetary policy shocks.

[“A new posterior sampler for Bayesian structural vector autoregressive models”](#)

(with M. Bruns, University of East Anglia)
Quantitative Economics, 2023, 14(4), pp. 1221-1250

We develop an importance sampler for sign restricted Bayesian structural vector autoregressive models. The algorithm nests as a special case the sampler associated with the popular Normal inverse Wishart Uniform prior, while allowing to move beyond such prior in medium sized models. We then propose a prior on contemporaneous impulse responses that provides flexibility on the magnitude and shape of the impact responses. We illustrate the quantitative relevance of the choice of prior in an application to US monetary policy shocks. We find that the real effects of monetary policy shocks are stronger under our proposed prior than in the conjugate setup.

Key words: Sign restrictions, Bayesian inference, Monetary policy shocks.

[“Banks' Leverage Evolution”](#)

Mathematics, 2023

This paper uses a panel dataset on the post Basel-I period to compare the evolution of leverage ratios between commercial and investment banks before the 2007 financial crisis. It shows that the quality of the capital base of commercial banks has been deteriorating since well before the 2007 crisis at a much faster pace, when compared to investment banks. The paper explains why traditional measures of leverage cannot display this phenomenon, and proposes the ratio of book-value of assets over tangible common equity as a better measure.

Key words: Leverage, Banking Sector, Financial Crises.

[“Unconventional monetary policy, fiscal side effects and euro area \(im\)balances”](#)

(with M. Hachula and M. Rieth)
Journal of the European Economic Association, 2020, 18(1), pp. 202-231

We study the macroeconomic effects of unconventional monetary policy in the euro area using structural vector autoregressions, identified with external instruments. The instruments are based on the common unexpected variation in euro area sovereign yields for different maturities on policy announcement days. We first show that

expansionary monetary surprises are effective at lowering public and private interest rates and increasing economic activity, consumer prices, and inflation expectations. We then document that the shocks lead to a rise in primary public expenditures and a widening of internal trade balances.

Key words: Central banks, structural VAR with external instruments, fiscal policy, monetary union.

“Monetary policy and defaults in the US”

International Journal of Central Banking, 2018, 14(4), pp. 327-358

This paper uses a structural VAR model to study the effect of monetary policy on the delinquency rate of business loans and consumer credit. The VAR is identified jointly using several external instruments that reflect different approaches from the literature. Delinquency rates, defined as the rate of loans with overdue repayments relative to total loans, are found to decrease in response to an exogenous monetary expansion. The results are consistent with a general equilibrium effect formalized in the paper using a standard model of optimal defaults. According to both the theoretical model and the reported empirical evidence, the decrease in defaults is driven by the fact that monetary expansions increase aggregate demand and push up profits and income, thereby improving the repayment possibility of borrowers.

Key words: Monetary shocks, risk-taking channel, SVAR with external instruments.

“Identifying uncertainty shocks using the price of gold”

(with M. Podstawski)

Economic Journal, 2018, 128(616), pp. 3266-3284

We propose a new instrument to identify uncertainty shocks in an SVAR model with external instruments. The instrument is constructed by exploiting variations in the price of gold around events associated with unexpected changes in uncertainty. The variations in the price of gold around the events correlate with the underlying uncertainty shocks, due to the perception of gold as a safe haven asset. To control for possible news-related effects associated with the events we identify uncertainty and news shocks jointly, developing a set-identified proxy SVAR with restrictions on the correlations between shocks and proxies. We find that the recursive approach, extensively used in the literature, underestimates the effects of uncertainty shocks and delivers impulse responses for economic activity and monetary policy that have more in common with news shocks than with uncertainty shocks.

Key words: Economic uncertainty, external proxy SVAR, safe haven assets, news shocks, set-identification.

“Risk factors for the presence of *aedes aegypti* and *aedes albopictus* in domestic water-holding containers in areas impacted by the Nam Theun 2 hydroelectric project, Laos”

(with A. Hiscox, A. Kaye, K. Vongphayloth, I. Banks, P. Khammanithong, P. Sananikhom, S. Kaul, N. Hill, S. Lindsay and P. Brey)

American Journal of Tropical Medicine and Hygiene, 2013, 88(6), pp. 1070-78

We assessed risk factors for vectors of dengue and chikungunya viruses near a new hydroelectric project, Nam Theun 2, in Laos. Immature stages of *Aedes aegypti* were found only in sites within 40 km of the urban provincial capital, but *Aedes albopictus* was found throughout. *Aedes aegypti* pupae

were most common in water storage jars (odds ratio [OR] = 4.72) and tires (OR = 2.99), and *Ae. albopictus* pupae were associated with tires in 2009 (OR = 10.87) and drums, tires, and jars in 2010 (drums OR = 3.05; tires OR = 3.45, jars OR = 6.59). Compared with water storage vessels, containers used for hygiene, cooking, and drinking were 80% less likely to harbor *Ae. albopictus* pupae in 2010 (OR = 0.20), and discarded waste was associated with a 3.64 increased odds of infestation. Vector control efforts should focus on source reduction of water storage containers, particularly concrete jars and tires.

OTHER WRITINGS

Teaching notes	Simplified hypothesis testing for beginners (link here)
Teaching notes	A step-by-step introduction to VAR models (with simulations on Matlab) (link here)
Teaching notes	Introducing Bayesian Econometrics using 4 examples (link here)
Teaching notes	Derivation and discussion of the identification of VARs using external instruments (link here)
Teaching notes	Bayesian VARs, step-by-step derivations of posteriors (link here)
Policy brief	Monetary policy and the risk taking channel, DIW roundup, July 2015
Policy brief	ECB policies effective in the euro area and Germany, DIW Economic Bulletin, February 2016
Policy brief	The economic effects of uncertainty, DIW roundup, April 2016
Policy brief	Effectiveness of the ECB program of asset purchases: where do we stand?, Report for the European Parliament, June 2016
Policy brief	The effects of the uncertainty shock from the Brexit vote on the Euro Area and Germany, DIW Economic Bulletin, August 2016
Policy brief	Uncertainty after the Brexit vote: Economic effects and legal aspects, Report for the European Parliament, November 2016
Policy brief	Side effects of ECB unconventional monetary policy on productivity, Report for the European Parliament, February 2017

REFeree DUTIES

Bundesbank discussion paper series, Bulletin of Economic Research, CESifo Economic Studies, ECB working paper series, Economic Dynamics, Economic Journal, Economica, European Economic Review, International Journal of Central Banking, Journal of Econometrics, Journal of the European Economic Association, Journal of Applied Econometrics, Journal of Economic Dynamics and Controls, Macroeconomic Dynamics, Oxford Bulletin of Economics and Statistics, Oxford Economic Papers, Quantitative Economics,

CONFERENCE AND SEMINAR PRESENTATIONS

2026	ES (Abu Dhabi, UAE), SNDE (Lisbon, Portugal), Federal Reserve Bank of Cleveland (USA), Nordic Econometric Meeting (Helsinki, Finland), Banque de France (Paris, France), Barcelona Summer Forum (Spain), Statistische Woche (Essen, Germany), NBER Time Series (Bologna, Italy)
2025	Universita' Cattolica di Milano (Minal, Italy), International Monetary Fund (DC, USA), Workshop in Time Series Econometrics (Zaragoza, Spain), Federal Reserve Board (DC, USA), Federal Reserve of Philadelphia (USA), ICEEE (Palermo, Italy), Sailing the Macro (Ortigia, Italy), UQAM (Montreal, Canada), University of Padova (Italy)
2024	University of Glasgow (Scotland), SNDE (Padova, Italy), Konstanz Macro Seminar (Germany), RCEA (London, UK), Norwich Time Series (UK), IAAE (Thessaloniki, Greece)
2023	Time Series (Zaragoza, Spain), ICEEE (Cagliari, Italy), Barcelona Summer Forum (Spain), IAAE (Oslo, Norway), ESOBE (Glasgow, UK), Sailing the Macro (Ortigia, Italy); University of Helsinki (Finland) Norges Bank (Oslo, Norway), ESOBE (Salzburg, Austria); Ventotene Macro Workshop (Italy); European
2022	Economic Association conference (Milan, Italy); Barcelona Summer Forum (Spain); Workshop in Honour of Wouter Den Haan (London, UK); IAAE (London, UK); IWEEE (Rimini, Italy) Applied Time Series Econometrics Workshop (FED St. Louis, USA); Ventotene Macro Workshop (Italy)
2021	Central Reserve Bank of Peru
2020	King's College London, Vienna Workshop on High-Dimensional Time Series, University of Padova, ESOBE
2019	Conference (St Andrews, Scotland), National Bank of Poland (Warsaw, Poland), University of East Anglia, Bank of England
2018	Bank of England, Birkbeck, University of Manchester, DIW Berlin, Free University Berlin, City University, University of Bologna (Bologna, Italy), University of Southampton (Southampton, UK), Royal Economic Society (Brighton, UK), CEF (Milan, Italy), Barcelona GSE
2017	ICEEE meeting (Messina, Italy), CEF (New York, USA), Federal Reserve Bank of Philadelphia (Philadelphia, USA)
2016	Royal Economic Society (Brighton, UK); CSEF – Federico II (Naples, Italy); Humboldt University (Berlin, Germany); RCFA Bayesian Workshop (Rimini, Italy); Bank of Portugal (Lisbon, Portugal); University of Oxford (Oxford, UK), XIX Applied Economic Meeting (Seville, Spain); IAAE (Milan, Italy), Bank of England (London, UK), CESifo Macroeconomics and Survey Data (Munich, Germany); Econometric Society, European winter meeting (Edinburgh, UK), EME workshop (Paris, France)
2015	Royal Economic Society (Royal Holloway, UK); Theories and Methods in Macroeconomics, T2M (Berlin, Germany); CIdE Workshop in Econometrics and Empirical Economics (Perugia, Italy); University of Padova (Padova, Italy); Bank of Italy (Rome, Italy); Free University (Berlin, Germany)
2014	Macroeconometric Workshop (Halle, Germany); Money, Macro and Finance Conference (Durham, UK); 5th Conference on Recent Developments in Macroeconomics (Mannheim, Germany); Doctoral Workshop on Dynamic Macroeconomics (Strasbourg, France)
2013	<i>Simposio de la Asociación Española de Economía</i> – SAEe (Santander, Spain); UPF (Barcelona, Spain); Banking, Finance, Money and Institutions: The Post Crisis Era (Surrey, UK); Macro Banking and Finance Workshop (Milan, Italy); European Economic Association (Gothenburg, Sweden); XVIII Workshop in Dynamic Macroeconomics (Vigo, Spain); 30 th International Symposium on Money, Banking and Finance (Poitiers, France); Royal Economic Society (Royal Holloway, UK); Bank of England (London, UK)
2012	XXI International Conference on Money, Banking and Finance (Rome, Italy); European Central Bank (Frankfurt, Germany), WIP seminars, London School of Economics (London, UK)

LANGUAGES AND PROGRAMMING

Italian (native), English (fluent), German, Spanish and French (intermediate)
User of Matlab, Fortran, R, Stata and EViews